

A

Rise and fall

These verbs describe **trends** [movements] in **sales** [how much you sell], prices, etc.

When sales or prices **rise / go up / increase**, they can do it in different ways:

They can rise **slightly** [a bit]. →

They can rise **gradually** [slowly over a long period]. ↗

They can rise **sharply** [quickly and by a large amount]. ↗

The opposite can also happen. Prices or sales can **fall / go down / decrease** slightly, gradually or sharply. If prices don't rise or fall, they **stay the same**. →

We use certain prepositions to say by how much something rises or falls.

The price has risen **by** 10 pence. Sales fell **from** 8,000 units **to** 6,500 units.

Rise/increase and **fall/decrease** can also be used as nouns, with certain prepositions.

There's been a **gradual rise in** prices. We've seen a **slight increase in** profit.

There's been a **sharp fall in** sales. Profits were £5 million, which is a **decrease of** 10%.

Language help

Profit is the money you receive from your business after you have paid all your costs (*opp* loss).

*Last year the company **made a profit of** €2 million but this year they could **make a loss**.*

B

Financial language

With the **economy**¹ now improving, banks are reporting **positive signs**² that the number of **loans**³ is increasing.

With **inflation**⁴ expected to rise, there are **growing fears**⁵ that **interest rates**⁶ could go up by as much as **2%**⁷ next year.

EUROPE



Figures⁸ published yesterday show that **trade**⁹ between the two countries has now risen for the fifth year **in a row**¹⁰.

CURRENCY

Although the **value**¹¹ of the pound fell slightly against the dollar yesterday, the news that sales rose in the last **quarter**¹² has **raised**¹³ hopes that we may be coming out of **recession**¹⁴.

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¹ the system by which a country's trade, industry and money are organised

² something which shows something is happening

³ money that you borrow

⁴ the rate at which prices increase

⁵ increasing worries

⁶ (see language help below)

⁷ this is spoken as *two per cent*

⁸ an amount shown in numbers, e.g. 500

⁹ buying and selling between countries

¹⁰ one after another with no break

¹¹ the money that something can be sold for

¹² (in business) a period of three months

¹³ increased; you can also **raise prices**

¹⁴ a time when the economy is not successful

Language help

Interest is what the bank **charges** you [asks you to pay] when you borrow money from them, and the **interest rate** is how much you must pay as a **percentage**, e.g. **5%**, **8%**, etc. So, if you borrow £100 for a year and the interest rate is 15% a year, you'll have to **pay back** £115.

Exercises

40.1 Choose the correct word to complete the sentences.

- 1 We made a profit of for six million euros.
- 2 Sales rose to / by 10% last year.
- 3 The value of the shares fell from / for 240 pence to 225 pence.
- 4 There was a fall of / from 5% in the value of the shares.
- 5 There has been a gradual rise with / in profits.
- 6 The company made a loss two years on / in a row.
- 7 What's the current value of / in the euro?

40.2 Which words or phrases are being defined?

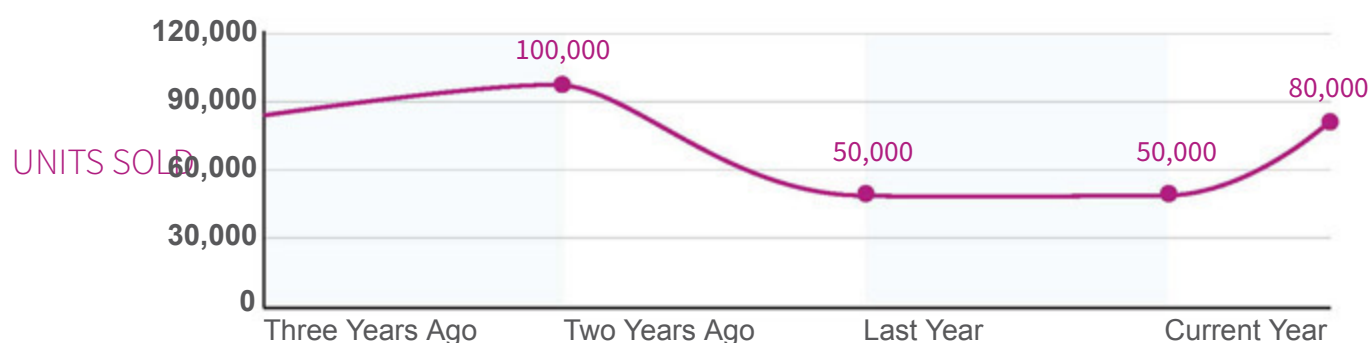
- 1 The amount of money that something can be sold for. value
- 2 Money you borrow from a bank for your business.
- 3 What the bank charges you when you borrow money.
- 4 The rate at which prices increase.
- 5 The money that a company receives for its goods after paying all the costs.
- 6 Buying and selling goods and services between countries.
- 7 A movement in sales, prices, etc. over a period of time.

40.3 Complete the two short texts, then answer each of the two questions.

- 1 If you get a bank of €500 for one year and the bank you 20%
....., how much will you have to to the bank at the end of the year?
.....
- 2 If you take out a similar amount from another bank, and the interest is 15
....., how much will you at the end of the year?

40.4 Look at the graph and complete the text.

The ¹ graph shows sales ² for the last three and a half years. Three years ago sales ³ slightly and reached 100,000 units by the end of the year. The company ⁴ a profit of almost £500,000 and decided to ⁵ the price from £8.95 to £10.25. It had an immediate effect: there was a ⁶ ⁷ in sales over the year. It was bad news, and the company made a ⁸ And in the next year sales ⁹ the same. However, in the first two ¹⁰ of this year, they have ¹¹ ¹² for the first time in many years.



40.5 Over to you

Can you answer these questions about your own country?

- 1 What is the inflation rate at the moment?
- 2 If you borrow money from the bank, what is the approximate interest rate you will be charged?
- 3 Do you think the economy is doing well or badly?
- 4 When was the last time your country was in recession?
- 5 What is the value of your currency against the dollar?